



Ajay Bijli (left) will be the MD of PVR-INOX; Siddharth Jain will be a non-executive, non-independent director

THE NEW PECKING ORDER

Multiplex	No. of screens	No. of cities
PVR-INOX	1,546	109
Carnival Cinemas	Around 400	100, mostly Tier II and III
Cinepolis India	Around 400	22

SOURCE COMPANY REPORTS AND MEDIA REPORTS

ing the pandemic. “While things are getting back to normal, the change is something we cannot deny. The question is how we can counter that going forward and protect the theatrical business. Yes, the pandemic did hasten the process of PVR and us coming together,” he says. Adds Bijli: “It was a question of two iconic brands coming together to create a stronger balance sheet.” A look at their FY21 annual reports shows cash balances of PVR and INOX at ₹732 crore and ₹78 crore, respectively; and their debt was at ₹1,352 crore and ₹67 crore, respectively.

PVR-INOX will have Pavan Kumar Jain (Siddharth’s father) as non-executive chairman and Bijli as the Managing Director. Siddharth will be a non-executive, non-independent director. In terms of shareholding, the INOX promoters will hold 16.66 per cent, while the PVR founders’ share will be 10.62 per cent. The remaining shareholding will be spread across mutual funds, FIIs, etc.

The early part of this calendar year had PVR actively engaging with the Mexico-headquartered Cinepolis, which has around 400 screens in India, for a potential merger. Those familiar with the development say Cinepolis changed its mind at an advanced stage (its revenue challenges globally being one of the reasons), leaving the door open for a quickly-stitched deal with INOX. Bijli restricts himself to saying that “a lot of opportunities were getting evaluated because we felt consolidation is the name of the game”. As Jain sees it, strength in numbers was necessary: “We have to keep the habit of coming to the large screen intact and that is possible only if we improve the experience of the cinema.”

Utkarsh Sinha, Managing Director of boutique investment bank Bexley Advisors, says that despite a “serious shift to straight-to-OTT in India, the truth is that most studios still prefer to reserve mega releases for the big screen”. He is convinced

about a resurgence in big releases if the current recovery sustains. “That will only benefit the combined entity massively in the medium term.”

And what of the CCI? Bijli says since the turnover of each is less than ₹1,000 crore, it will not fall in the purview of the regulation. For FY21, PVR’s revenue was ₹310 crore, and INOX’s was ₹148.19 crore.

BIG IS BEAUTIFUL

Given the scale of the merger, there is a lot that the two players can do as one large entity. Devang Bhatt, Lead Analyst (IT & Media) at IDBI Capital, says the combined strength will have around a 50 per cent share in multiplex screens; that number will be 16 per cent if single screens are included. The plan, as the management has said, is to add 200 screens per year at an outgo of ₹500 crore (the thumb rule in the industry is a capex of ₹2.5 crore per new screen). The current properties will retain their branding, while the new ones being rolled out will be co-branded. “Although the companies have not quantified the extent of synergies yet, we believe there will be advantages on scale, rental costs, and other operational expenses,” says Bhatt.

Interestingly, a significant difference in F&B (food and beverage) revenue per head between the two brands is likely to increase revenue. A report from IDBI Capital says it is ₹93 for PVR and ₹75.2 for INOX or a difference of 24 per cent. “That will help in getting ₹45 crore of higher revenue. Similarly, higher convenience fees and advertising revenue can lead to revenue synergy of ₹60 crore. On costs, there might be synergy of ₹100 crore related to employee costs, operational efficiencies and F&B sourcing,” says the report.

For Bijli, the pandemic has questioned his own belief in being a specialist in one business. “The core business will continue to be exhibition, but a lot of tentacles and verticals can come out of it and that’s something we’ll definitely look at. We already do distribution but could look at production as well,” he says.